

1 ENGROSSED HOUSE
2 BILL NO. 4050

By: Caldwell (Trey) and Kane of
the House

3 and

4 Hall and Haste of the
5 Senate

6
7 An Act relating to retirement; amending 74 O.S. 2021,
8 Section 920, which relates to the Oklahoma Public
9 Employees Retirement System; modifying employer
10 contribution amount for certain time frame; providing
11 an effective date; and declaring an emergency.

12 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

13 SECTION 1. AMENDATORY 74 O.S. 2021, Section 920, is
14 amended to read as follows:

15 Section 920. (1) Effective July 1, 1994, every state agency
16 which is a participating employer shall contribute to the System an
17 amount equal to eleven and one-half percent (11 1/2%) of the monthly
18 compensation of each member, but not in excess of Forty Thousand
19 Dollars (\$40,000.00).

20 (2) Effective July 1, 1995, every state agency which is a
21 participating employer shall contribute to the System an amount
22 equal to eleven and one-half percent (11 1/2%) of the monthly
23 compensation of each member, not to exceed the allowable annual
24

1 compensation as defined in paragraph (9) of Section 902 of this
2 title.

3 (3) Effective July 1, 1996, every state agency which is a
4 participating employer shall contribute to the System an amount
5 equal to twelve percent (12%) of the monthly compensation of each
6 member, not to exceed the allowable annual compensation defined in
7 paragraph (9) of Section 902 of this title.

8 (4) Effective July 1, 1999, and through the fiscal year ending
9 June 30, 2005, every state agency which is a participating employer
10 shall contribute to the System an amount equal to ten percent (10%)
11 of the monthly compensation of each member, not to exceed the
12 allowable annual compensation defined in paragraph (9) of Section
13 902 of this title.

14 (5) Effective July 1, 2005, except as otherwise provided by
15 subsection ~~(11)~~ (13) of this section, every state agency which is a
16 participating employer shall contribute an amount to the System
17 equal to a percentage of monthly compensation of each member, not to
18 exceed the allowable annual compensation defined in paragraph (9) of
19 Section 902 of this title as follows:

20 July 1, 2005 - June 30, 2006 11 1/2%

21 July 1, 2006 - June 30, 2007 12 1/2%

22 July 1, 2007 - June 30, 2008 13 1/2%

23 July 1, 2008 - June 30, 2009 14 1/2%

24 July 1, 2009 - June 30, 2011 15 1/2%

1 July 1, 2011 - June 30, ~~2012~~ 2026

2 ~~and each year thereafter~~ 16 1/2%

3 (6) Beginning July 1, 2026, through June 30, 2031, except as
4 otherwise provided by subsection (13) of this section, every state
5 agency which is a participating employer shall contribute an amount
6 to the System equal to nine and one-half percent (9 1/2%) of monthly
7 compensation of each member, not to exceed the allowable annual
8 compensation defined in paragraph (9) of Section 902 of this title.

9 (7) Beginning July 1, 2031, except as otherwise provided by
10 subsection (13) of this section, every state agency which is a
11 participating employer shall contribute an amount to the System
12 equal to sixteen and one-half percent (16 1/2%) of monthly
13 compensation of each member, not to exceed the allowable annual
14 compensation defined in paragraph (9) of Section 902 of this title.

15 (8) The Board shall certify, on or before November 1 of each
16 year, to the Office of Management and Enterprise Services an
17 actuarially determined estimate of the rate of contribution which
18 will be required, together with all accumulated contributions and
19 other assets of the System, to be paid by each participating
20 employer to pay all liabilities which shall exist or accrue under
21 the System, including amortization of the past service cost over a
22 period of not to exceed forty (40) years from June 30, 1987, and the
23 cost of administration of the System, as determined by the Board,
24 upon recommendation of the actuary.

1 ~~(7)~~ (9) The Office of Management and Enterprise Services and
2 the Governor shall include in the budget and in the budget request
3 for appropriations the sum required to satisfy the state's
4 obligation under this section as certified by the Board and shall
5 present the same to the Legislature for allowance and appropriation.

6 ~~(8)~~ (10) Each other participating employer shall appropriate
7 and pay to the System a sum sufficient to satisfy the obligation
8 under this section as certified by the Board.

9 ~~(9)~~ (11) Each participating employer is hereby authorized to
10 pay the employer's contribution from the same fund that the
11 compensation for which said contribution is paid from or from any
12 other funds available to it for such purpose.

13 ~~(10)~~ (12) Forfeitures arising from severance of employment,
14 death or for any other reason may not be applied to increase the
15 benefits any member would otherwise receive under the System's law.
16 However, forfeitures may be used to reduce an employer's
17 contribution.

18 ~~(11)~~ (13) Effective November 1, 2015, an employer shall be
19 required to make payment to the Oklahoma Public Employees Retirement
20 System of the amount described by subsection A of Section ~~10 of this~~
21 ~~act~~ 935.10 of this title with respect to any employee who is a
22 participant in the defined contribution system created pursuant to
23 the provisions of Sections ~~4~~ 935.1 through ~~11~~ 935.11 of this ~~act~~
24 title. The employer shall be required to make the required matching

1 contribution amount for all employees that participate in the
2 defined contribution system and to remit the difference between such
3 amount and the amount the employer would otherwise have paid
4 pursuant to the provisions of this section to the Oklahoma Public
5 Employees Retirement System.

6 SECTION 2. This act shall become effective July 1, 2026.

7 SECTION 3. It being immediately necessary for the preservation
8 of the public peace, health or safety, an emergency is hereby
9 declared to exist, by reason whereof this act shall take effect and
10 be in full force from and after its passage and approval.

11 Passed the House of Representatives the 14th day of April, 2026.

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13 _____
14 Presiding Officer of the House
15 of Representatives

16 Passed the Senate the ____ day of _____, 2026.

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19 Presiding Officer of the Senate
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